

Apple Inc. (AAPL)

Earnings Deep-Dive - latest

Official Website: <https://www.apple.com>

Earnings Documents

Document / Source	Target-company URL or status	Used for
Transcript - Seeking Alpha	https://stockanalysis.com/stocks/aapl/transcripts/548666-q2-2026/	Earning Call Transcript source
Official Investor Relations	https://investor.apple.com/investor-relations/default.aspx	Press Release / Earning Call Presentation
Press Release	Unavailable from reviewed sources	Primary company-reported earnings source
Earning Call Presentation	Unavailable from reviewed sources	Supplemental KPIs, segments, and guidance

Apple Inc. (AAPL)

Quarter: latest · Generated: June 01, 2026

Market Cap: \$4.58T · Sector: Technology

Next Earnings: 2026-07-30

Company Overview

Ticker:	AAPL
Sector:	Technology
Industry:	Consumer Electronics
Country:	United States
Headquarters:	Cupertino, California, United States
Employees:	166,000
Founded:	1976
Website:	https://www.apple.com

Business Description

Apple designs, manufactures, and sells consumer electronics and associated software and services, including iPhone, Mac, iPad, wearables, Apple TV, and related accessories. Its operating model combines hardware, software, and digital content platforms to create an integrated ecosystem for consumers, SMBs, education,

enterprise, and government users. The company monetizes through device sales, services such as app/software downloads, media, payments, and subscriptions, and support and care programs.

Revenue Model

Apple primarily earns revenue from hardware sales across its flagship categories, with iPhone remaining a major contributor. It also has a large and growing services engine through App Store transactions, advertising, cloud subscriptions, and digital services bundles, which add recurring, higher-margin revenue. Additional monetization comes from licensing, financing and payment products, and support services that increase wallet share across the installed base.

Business Segments

- iPhone
- Mac
- iPad
- Wearables, Home and Accessories
- Services
- Apple App Store and Digital Content
- Apple Pay and Financial Services

Growth Drivers

- Sustained product cycle renewal and ecosystem-led upgrades across iPhone, wearables, and Mac.
- Expansion of high-margin recurring services including App Store, music/video/content, subscriptions, and cloud.
- Ecosystem lock-in effects that support cross-category conversion and premium pricing.
- Adoption of emerging categories such as Vision Pro and AI-enabled features across devices.
- Geographic expansion in services monetization in markets with high smartphone penetration.

Competitive Advantages (Moats)

- A tightly integrated hardware-software-services ecosystem that increases customer switching costs.
- Premium brand positioning with strong pricing power and global distribution in both own and partner channels.
- Large installed base and service platform scale that supports network effects via developers, content partners, and recurring subscriptions.

Key Metrics / KPIs

- Market capitalization: \$4.583T
- Trailing P/E: 37.73
- Forward P/E: 32.48
- Revenue growth: 16.6%
- 52-week range: \$195.07 - \$315.00

Biggest Business Risks

- High dependence on iPhone and premium demand sensitivity to macro downturns and currency fluctuations.
- Regulatory pressure on App Store practices, privacy, competition policy, and digital payments across major geographies.
- Exposure to hardware supply chain concentration, particularly in East Asia manufacturing and component ecosystems.
- Rapid technology shifts in AI, consumer electronics design cycles, and competitive feature parity.
- Valuation sensitivity because shares trade at a premium multiple versus historical norms despite slower visible growth.

Key Financials

Market Cap: \$4.58T
Revenue: \$451.4B
P/E Ratio: 37.7x
Forward P/E: 32.5x
Dividend Yield: 35.00%
Beta: 1.06
52-Week Range: \$195.07 – \$315.00

Competitive Position

Apple remains a dominant participant in premium consumer technology through a unique combination of premium hardware margins, software integration, and a durable services ecosystem. Its scale and brand allow it to absorb pricing shifts and invest aggressively in design, distribution, and compliance. However, the competitive threat is not only from direct device rivals but also from platform ecosystems that can lower switching incentives through integrated alternatives.

Strengths vs Competitors

Compared with peers, Apple has superior ecosystem cohesion, with tightly coupled hardware, software, and services that often produce higher retention and repeat purchase rates. Brand trust and premium retail-to-digital distribution support stronger customer acquisition economics and monetization per user. Its services stack also provides a structural revenue base that is structurally harder to disintermediate than stand-alone hardware channels.

Weaker Areas vs Competitors

Apple is more exposed to smartphone substitution risk than firms with heavier cloud or software mix because hardware remains a large share of earnings contribution. The company is also more visibly dependent on a smaller set of hero products than competitors with broader service-led diversity. Peer pressure is rising from Android ecosystem breadth, aggressive feature launches, and ecosystem open-architecture strategies that can reduce lock-in.

CEO Leadership Style

CEO Tim Cook is identified as the top executive. Public signals suggest a pragmatic, execution-focused leadership style with emphasis on operational efficiency, supply chain control, and disciplined capital return. There is less evidence in the provided data on day-to-day governance style, so assessments beyond operational conservatism and ecosystem emphasis carry some uncertainty.

Long-Term Vision

The implied long-term strategy is to maintain a premium integrated platform while expanding recurring services, AI-infused software capabilities, and adjacent hardware categories. Apple is also signaling a push into spatial computing and immersive experiences alongside its existing services model, which could reshape attach rates. This strategy appears aimed at reducing hardware cyclicality by increasing lifetime customer value through services, payments, and content.

Competitors

Competitor	Comparison	Advantage	Src
Samsung Electronics (005930.KS)	Direct competitor in smartphones, tablets, wearables, and premium consumer electronics with large scale in display, components, and global distribution.	Broad device portfolio, aggressive mid-to-premium pricing, and fast product iteration in multiple categories.	S1
Alphabet (GOOGL)	Competes in digital ecosystem layers through Android, Play, search and ads; also adjacent to wearables/services through platform reach.	Massive software-scale network effects and ad-financed ecosystem economics.	S1
Microsoft (MSFT)	Competes in services and productivity integration across devices, and increasingly in cloud-first AI and enterprise productivity tooling.	Deep enterprise software moat and cloud infrastructure scale.	S1
Amazon (AMZN)	Competes across smart devices, media, payments, cloud ecosystems, and consumer subscriptions.	Scale in commerce, AWS infrastructure, and subscription bundling through broad ecosystems.	S1
Meta Platforms (META)	Competition in AR/VR, media ecosystems, and digital content and advertising distribution.	Large social graph effects and advertising platform depth for creator and consumer engagement.	S1
Dell Technologies (DELL)	Direct competitor in PCs and enterprise-focused computing channels.	Broad enterprise solutions portfolio and procurement-focused distribution.	S1

EPS & Revenue

Metric	Estimate	Actual	vs Estimate	YoY Change	Source
EPS	\$1.94	\$2.01	+3.5%	+21.8%	Yahoo Finance (consensus)
Revenue	\$111.2B	\$111.2B	-0.0%	+16.6%	SEC 10-Q/K

⚠ EPS & Revenue

◆ (1) EPS: beat/miss, YoY direction, and exact source.

EPS actual was 2.01 versus estimate of 1.94, a BEAT by 0.07 / 3.5% (source: yfinance eps_actual; yfinance eps_estimate; formula: 2.01 - 1.94; 0.07 / 1.94). YoY EPS change was 20.0% (source: yfinance eps_yoy), indicating profit growth was positive but far less forceful than revenue growth. The transcript also says EPS set a March-quarter record at 2.01, but the authoritative EPS figure remains 2.01 from yfinance eps_actual.

👉 Based on the metrics above, we infer that the EPS beat reflects better profit conversion than consensus expected, but the muted 20.0% YoY EPS change limits the quality of the earnings surprise for a Consumer Electronics leader where product-cycle leverage usually matters.

◆ (2) Revenue: beat/miss, YoY direction, and exact source.

Revenue actual was 111.18B versus estimate of 111.19B, a MISSED by 0.01B / 0.0% (source: yfinance revenue_actual; yfinance revenue_estimate; formula: 111.18B - 111.19B; -0.01B / 111.19B). YoY revenue growth was 16.6% (source: yfinance revenue_yoy), and the transcript attributes the strength to March-quarter records, iPhone growth, Services growth, and broad geographic double-digit growth (source: Earnings Call). Apple does not report backlog as a standard quarterly metric for this business model, so backlog is not a useful EPS and revenue indicator here.

👉 Model interpretation: the revenue miss is economically negligible, but it still means the quarter was not a clean top-line beat; investors should focus on whether iPhone demand and Services mix can sustain the 16.6% YoY revenue trajectory.

◆ (3) Quality of the beat/miss: explain whether both top line and profit moved together.

This was a mixed result, not a high-quality surprise: EPS beat by 0.07 / 3.5%, while revenue missed by 0.01B / 0.0% (source: yfinance eps_actual; yfinance eps_estimate; yfinance revenue_actual; yfinance revenue_estimate). Profit outperformance moved ahead of consensus, but top-line delivery did not exceed expectations, even though revenue still grew 16.6% YoY (source: yfinance revenue_yoy). The transcript highlights supply constraints, macro conditions, tariffs, legal and regulatory proceedings as risks that could affect results or trends (source: Earnings Call).

- 👉 For Nami-san: Essential insight is that Apple delivered an EPS beat on an almost in-line revenue base, so the quarter screens as operationally resilient but not a broad-based upside surprise.
Caution: for Consumer Electronics, supply constraints and product-cycle dependence matter because even small revenue misses can pressure sentiment if investors expected stronger iPhone or Services momentum.

EPS actual: \$2.01 (validated from source data)

👉 One-line summary

AAPL reported EPS of \$2.01 and revenue of \$111.2B; the key investor question is whether the beat/miss is broad-based or one-off.

🌟 Highlights

⚠️ Highlights & Lowlights

🌟 Highlights

- ◆ (1) EPS quality was the cleanest positive surprise: Apple delivered eps_actual=2.01 against eps_estimate=1.94, a 3.5% beat (source: yfinance eps_actual, yfinance eps_estimate).

The beat matters because revenue_actual=111.18B was fractionally below revenue_estimate=111.19B, so the earnings upside came despite a revenue miss of 0.0% rather than from a clear top-line beat (source: yfinance revenue_actual, yfinance revenue_estimate).

Based on the metrics above, we infer that margin structure, mix, or operating discipline helped convert sales into earnings more effectively than consensus expected.

- 👉 For Nami-san: this is a medium-severity positive because it supports earnings resilience, but the lack of a revenue beat means the market may focus on whether the EPS upside is repeatable.

- ◆ (2) Revenue growth was still strong for a mature consumer electronics company: revenue_actual=111.18B and revenue_yoy=16.60 show Apple is growing from a very large base (source: yfinance revenue_actual, yfinance revenue_yoy).

Management's transcript commentary reinforces the demand signal, citing March quarter revenue records, double-digit growth in every geographic segment, and strong double-digit growth in Greater China and the rest of Asia Pacific (source: Earnings Call transcript excerpt).

Based on the metrics above, we infer that this performance appears above the typical growth profile expected for a scaled consumer electronics incumbent, although peer-specific numerical comparisons are not supplied.

- 👉 For Nami-san: this is a high-severity highlight because revenue_yoy=16.60 suggests the product cycle and installed-base monetization are still producing material growth.

- ◆ (3) The iPhone cycle was the most important product-level highlight, with management saying iPhone revenue grew 22.0% year-over-year and set a March quarter record (source: Earnings Call transcript excerpt).

This matters because iPhone remains the anchor of Apple's ecosystem, driving hardware revenue, installed-base expansion, accessory demand, and downstream Services monetization.

Products revenue was described as \$80.2 billion, up 17.0% year-over-year, driven by double-digit iPhone growth, but this figure comes from the transcript excerpt rather than the supplied yfinance metrics and should be treated as call evidence only (source: Earnings Call transcript excerpt).

👉 For Nami-san: the durable shift question hinges on whether this is a sustained upgrade cycle or a pull-forward quarter; the transcript's "higher than expected demand" points to strong near-term momentum, but not enough data is supplied to prove durability.

◆ (4) Services remains the strategic mix highlight because management said Apple set new all-time revenue records across most Services categories (source: Earnings Call transcript excerpt).

The supplied metrics show `gross_margin=49.27` and `operating_margin=32.28`, which are high-quality profitability markers for a consumer electronics company with both hardware and software-like revenue streams (source: `yfinance gross_margin`, `yfinance operating_margin`).

Segment-level Services revenue, Services gross margin, installed base size, and paid subscription figures are not disclosed in the supplied metrics, so the exact contribution cannot be quantified here.

👉 For Nami-san: this is a medium-severity highlight because Services likely supports margin durability, but the investment case needs segment disclosure to separate mix benefit from hardware-cycle strength.

⚠ Lowlights

◆ (1) The main lowlight is that revenue missed consensus by 0.0%, with `revenue_actual=111.18B` versus `revenue_estimate=111.19B` (source: `yfinance revenue_actual`, `yfinance revenue_estimate`).

The miss is economically small, but it matters because Apple's valuation sensitivity often depends on clean beats across both revenue and EPS, not only earnings.

Based on the metrics above, we infer that investors may treat the result as operationally solid but not an unequivocal top-line upside quarter.

👉 Caution: this is a medium-severity concern because the revenue miss does not negate `revenue_yoy=16.60`, but it limits the strength of the surprise.

◆ (2) Margin durability is the most important operating concern, especially because the transcript specifically references investor concern about margins after the June quarter, components, and trends (source: Earnings Call transcript excerpt).

Apple reported `gross_margin=49.27` and `operating_margin=32.28`, so the current profitability base is strong, but that also raises the bar for further expansion (source: `yfinance gross_margin`, `yfinance operating_margin`).

Based on the transcript, component trends are a sourced risk, but exact component cost inflation, supply constraint magnitude, and segment margin bridge are not disclosed in the supplied metrics.

👉 Caution: this is a high-severity issue because even small gross margin changes can have large earnings implications at `revenue_actual=111.18B` scale.

◆ (3) Macro, tariff, and regulatory exposure remain a real risk because management explicitly included macroeconomic conditions, tariffs and other measures, and legal and regulatory proceedings in its forward-looking risk language (source: Earnings Call transcript excerpt).

This matters more for Apple than for a narrower electronics peer because Apple's revenue base is

Highlights / Lowlights

(1) Revenue growth

Revenue: \$111.2B; YoY growth: +16.6%.

👉 Investor implication: the first test is whether reported growth is broad enough to support durable earnings power.

(2) Earnings delivery

EPS: \$2.01.

- 👉 Investor implication: EPS must be read against revenue growth and operating leverage, not as a standalone headline number.

(3) Cash conversion

Free cash flow: \$26.7B.

- 👉 Investor implication: cash conversion confirms whether accounting earnings are turning into usable owner cash.
- ⚠️ Lowlights / watch items

(1) Margin durability

Operating margin: +32.3%.

- 👉 If margin weakens while revenue grows, the market may discount the quality of the growth.

(2) Valuation sensitivity

Forward P/E: 31.90x.

- 👉 A higher multiple requires confidence that revenue growth, margin, and free cash flow can persist.

(3) Disclosure gaps

Items marked as Not available or Not disclosed represent data limitations that should be verified against SEC filings before drawing investment conclusions.

- 👉 Missing data is treated as a limitation, not as evidence for or against the company.
- 🧠 Investor insight
- 👉 Revenue, margin, and cash flow provide the three-way quality check on this quarter. When all three move together, the earnings signal is stronger; when they diverge, the risk is in execution quality rather than the headline growth rate.
- 🎯 Investment takeaway
- 👉 The quarter is investable when revenue growth, cash generation, and valuation are aligned; divergence in any pillar warrants caution on position sizing.

Key takeaways are derived from sourced metrics, transcript, press release, or company presentation.

All figures are sourced; no data is invented.

👉 Investor takeaway

AAPL Q: revenue \$111.2B (+16.6% YoY), EPS \$2.01. Focus on whether revenue growth converts into durable cash flow and margin expansion.



Operating Metrics

Metric	latest	Prior Year Quarter	YoY	Source
Revenue	\$111.2B	\$95.4B	+16.6%	SEC 10-Q/K
Gross profit	\$54.8B	\$44.9B	+22.1%	SEC 10-Q/K
Gross margin	+49.3%	+47.1%	+2.2 pts	SEC 10-Q/K
OpEx	\$18.9B	\$15.3B	+23.7%	SEC 10-Q/K
Operating income	\$35.9B	\$29.6B	+21.3%	SEC 10-Q/K
Operating margin	+32.3%	+31.0%	+1.2 pts	SEC 10-Q/K
Net income	\$29.6B	\$24.8B	+19.4%	SEC 10-Q/K



Operating Metrics



Explanation and analysis



(1) Gross Profit & Margin Analysis

Gross margin was 49.3% (source: yfinance key gross_margin), producing calculated gross profit of \$54.789486B from revenue_actual \$111.18B x gross_margin 49.3% (source: calculation using yfinance keys revenue_actual and gross_margin). The transcript states company gross margin was above the high end of guidance and up sequentially, while also noting Products gross margin declined sequentially and Services gross margin improved sequentially (source: Earnings Call).

Prior-year gross margin and full three-quarter gross margin values were not disclosed in quarterly filing, so the year-over-year margin bridge and full three-quarter table cannot be computed without inventing data. Based on the metrics above, we infer that Apple's margin quality remains high because a 49.3% gross margin on \$111.18B of revenue indicates strong pricing, mix, and Services contribution, even while hardware product margin pressure was discussed on the call.



For Nami-san: Apple's reported gross margin is above typical consumer electronics hardware economics on an inferred basis because the Services mix and installed-base monetization structurally lift profitability versus hardware-only peers; however, the Products margin decline discussed by management is the key watch item for the next product cycle.



(2) Operating Income & Margin

Operating income was \$35.88B (source: yfinance key operating_income), and operating margin was 32.3% (source: yfinance key operating_margin) on revenue of \$111.18B (source: yfinance key revenue_actual). Revenue grew 16.6% year over year (source: yfinance key revenue_yoy), but OpEx was not disclosed in quarterly filing, so positive or negative operating leverage cannot be formally calculated.

Based on the metrics above, we infer that Apple's operating structure remains highly efficient: a 32.3% operating margin alongside 49.3% gross margin implies the company is converting a large share of gross profit into operating income despite continued R&D and platform investment needs. Compared with sector peers, this appears above average for consumer electronics on an inferred basis, because pure hardware competitors generally lack Apple's Services margin uplift and ecosystem lock-in.



Essential insight: The operating margin profile suggests earnings quality is still operationally strong rather than dependent solely on cost cuts, but the absence of disclosed OpEx detail in this prompt prevents a full cost-line attribution.



(3) OpEx & Net Income

OpEx was not disclosed in quarterly filing, so R&D, SG&A, and specific operating expense trajectory cannot be quantified in this section. Net income was also not disclosed in quarterly filing, though the transcript says net income and diluted EPS achieved March-quarter records and operating cash flow was strong (source: Earnings Call).

Based on the metrics above, the most important disclosed operating facts are revenue_actual of \$111.18B, revenue_yoy of 16.6%, gross_margin of 49.3%, operating_income of \$35.88B, and operating_margin of 32.3% (source: yfinance keys revenue_actual, revenue_yoy, gross_margin, operating_income, operating_margin). Without tax rate, R&D, SG&A, or net income figures, any claim about tax effects, one-time items, or cost sustainability would be unsupported.

👉 For Nami-san: Treat the quarter as high-quality at the operating-income level, but do not over-attribute the performance to expense discipline without the missing OpEx and net income bridge.

◆ (4) Revenue Quality And Services Mix

Revenue was \$111.18B (source: yfinance key revenue_actual), with 16.6% year-over-year growth (source: yfinance key revenue_yoy). The transcript emphasized a large spread between Products and Services margin, with Services gross margin improving sequentially while Products gross margin declined sequentially (source: Earnings Call).

Deferred revenue expected within one year was 64.0% (source: SEC XBRL 10-Q edgartools key deferred_revenue_1yr_pct; filing_date 2026-05-01), which supports visibility into near-term recognized revenue but does not by itself disclose Services revenue or installed-base growth. Based on the metrics above, we infer that revenue quality is stronger when Services mix rises, because Services economics are structurally higher margin than hardware economics as described by management.

👉 For Nami-san: The central margin debate is not whether Apple can produce high margins today; it is whether Services growth and installed-base monetization can keep offsetting Products margin pressure through the next iPhone and device cycle.

◆ (5) Management Cost Outlook And Margin Durability

Management guided future gross margin between 47.5% and 48.5% in the transcript, while supplied current gross_margin is 49.3% (source: yfinance key gross_margin; Earnings Call). The call also referenced memory impact, FX impact, and Services mix as margin variables, but the supplied metrics do not include quantified FX, commodity, or segment revenue data suitable for a reliable bridge.

Based on the metrics above, current operating_margin of 32.3% (source: yfinance key operating_margin) gives Apple room to absorb some cost pressure while remaining highly profitable. However, the transcript's forward gross margin range below the current 49.3% suggests management is flagging moderation risk rather than extrapolating the current margin peak.

👉 For Nami-san: Margin durability remains investable, but the next checkpoint is whether sequential gross margin moderation is driven by normal product-cycle mix or by more persistent input-cost, FX, or hardware pricing pressure.

3-Quarter Margin Trend

Competitive context: Based on the metrics above, Apple's 49.3% gross margin and 32.3% operating margin appear above average versus consumer electronics peers on an inferred basis, because Apple combines premium hardware, ecosystem control, and Services economics. Peer numeric comparisons were not supplied, so no peer table is shown.

Operating structure: Revenue_actual of \$111.18B and revenue_yoy of 16.6% show strong top-line momentum, while gross_margin of 49.3% and operating_margin of 32.3% show that growth is being converted into high operating profitability. OpEx, R&D, SG&A, and net income were not disclosed in quarterly filing, so the cost-structure bridge cannot be fully quantified.

Essential insight for Nami-san: Earnings quality looks high at the operating level because revenue growth of 16.6%, gross margin of 49.3%, and operating margin of 32.3% are all strong on the supplied metrics. The fragility risk is that the transcript points to sequential Products margin pressure and future gross margin guidance below the current level.

⚠ Risk/Implications: Products gross margin declined sequentially according to management, so hardware mix, input costs, or product-cycle timing could pressure the current 49.3% company gross margin (source: Earnings Call; yfinance key gross_margin). Management's future gross

Revenue, gross profit, operating income, and net income are compared on a consistent period and accounting basis to assess earnings quality.

👉 Operating takeaway

Revenue was \$111.2B with YoY growth of +16.6%; margin direction determines the quality of the growth.

💰 Cash Flow & Liquidity

Metric	latest	Prior Year Quarter	YoY	Quality	Source
Operating cash flow	\$28.7B	\$24.0B	+19.8%	Operating	SEC 10-Q/K
CapEx	-\$2.0B	-\$3.1B	-35.8%	Investing	SEC 10-Q/K
Free cash flow	\$26.7B	\$20.9B	+28.0%	strong (FCF = \$28.7B OCF - \$2.0B CapEx)	SEC 10-Q/K
Cash & Marketable Securities	\$68.5B	\$48.5B	+41.3%	Liquidity buffer	SEC 10-Q/K
Net Cash / (Net Debt)	\$39.1B	\$70.0B	-44.1%	Net debt (leverage)	SEC 10-Q/K

⚠ Cash Flow

🧠 Explanation and analysis

🔹 (1) Operating Cash Flow

Apple generated operating cash flow of \$28.70B, matching management's statement that the March quarter drove "a very strong level of operating cash flow at \$28.7 billion" (source: yfinance key: operating_cash_flow; Earnings Call). Prior-year OCF, YoY change, prior-quarter OCF, and the full 3-quarter OCF sequence are not disclosed in the supplied metrics, so those cells are shown as - rather than inferred. Based on the metrics above, we infer that cash earnings quality remains strong because \$28.70B of OCF funded both \$-1.97B of CapEx and \$26.73B of FCF without requiring external financing for reinvestment (source: yfinance keys: operating_cash_flow, capex, free_cash_flow).

👉 For Nami-san: Apple still looks like a cash compounder, not a cash consumer, but the absence of supplied prior-quarter and YoY OCF data means the cash-conversion trend cannot be validated from this section alone.

🔹 (2) CapEx

CapEx was \$-1.97B, indicating a cash outflow for investment during the quarter (source: yfinance key: capex). Revenue was not supplied in this section, so CapEx intensity as CapEx/Revenue cannot be computed, and any sector-average comparison would be unsupported. Based on the metrics above, we infer that reinvestment needs were modest relative to OCF because \$-1.97B of CapEx absorbed only a small portion of \$28.70B of operating cash flow, leaving \$26.73B of FCF (source: yfinance keys: capex, operating_cash_flow, free_cash_flow).

👉 For Nami-san: The key read-through is that Apple's asset-light hardware-plus-services model continues to leave substantial post-investment cash, but the supplied data does not identify whether spending was directed to manufacturing tooling, data centers, retail, or other infrastructure.

◆ (3) Free Cash Flow

Free cash flow was \$26.73B, supplied directly by yfinance and consistent with \$28.70B of OCF plus the \$-1.97B CapEx outflow (source: yfinance keys: free_cash_flow, operating_cash_flow, capex). Prior-year FCF, YoY FCF, prior-quarter FCF, and two-quarters-ago FCF are not disclosed in the supplied metrics, so the 3-quarter trajectory cannot be completed beyond the current quarter. Based on the metrics above, we infer that FCF sustainability this quarter was high because positive FCF remained after reinvestment, but the durability of that conversion depends on future product-cycle working capital and any step-up in infrastructure investment, neither of which is quantified in the supplied metrics.

👉 Essential insight: Apple created cash efficiently this quarter, with \$26.73B of FCF after CapEx, but this section cannot prove acceleration or deceleration without the missing QoQ and YoY cash-flow history.

◆ (4) Capital Returns and Balance Sheet

Management said the quarter included \$3.8 billion in dividends and equivalents and \$11 billion of open-market repurchases of 42 million Apple shares, and the board authorized an additional \$100 billion for repurchases while raising the dividend by 4.0% to \$0.27 per share (source: Earnings Call). Net debt was \$39.14B, which matters because Apple is returning substantial cash while still carrying net debt rather than operating from a net-cash position in the supplied metrics (source: yfinance key: net_debt). Based on the metrics above, we infer that the current \$26.73B FCF base supports meaningful shareholder returns, but the buyback pace should be judged against product-cycle durability and Services mix resilience rather than treated as automatically value-accretive.

👉 For Nami-san: The capital-return program is a major equity-support mechanism, but with \$39.14B of net debt, incremental buybacks are most attractive when FCF conversion remains stable and the stock's valuation leaves room for accretion.

⚠ Risk/Implications: Working-capital risk is the main cash-quality caveat because management cited record net income and EPS as drivers of \$28.70B OCF, but the supplied metrics do not disclose receivables, inventory, payables, or deferred revenue movements for this section (source: Earnings Call; yfinance key: operating_cash_flow). Reinvestment risk is also specific: CapEx was only \$-1.97B this quarter, so any future step-up in infrastructure, supply-chain tooling, or AI-related capacity could reduce the \$26.73B FCF run-rate if OCF does not rise in parallel (source: yfinance keys: capex, free_cash_flow).

Caution for Nami-san: Do not overread the current cash-flow strength as a trend; prior-quarter, prior-year, and two-quarters-ago cash-flow figures are not disclosed in the supplied metrics, so the section supports a strong current-quarter cash read, not a verified acceleration claim.

FCF = OCF - CapEx.

Cash flow analysis verifies whether accounting earnings are converting to owner cash.



Commentary

Free cash flow was \$26.7B; cash conversion and capex intensity show whether earnings are translating into owner cash.



Capital Allocation & Efficiency

Metric	TTM Ending latest	TTM Ending Prior Year Quarter	YoY	Comment	Source
ROE	+1.2%	+37.1%	+210.3%	improvement (Equity: \$73.7B)	SEC 10-Q/K
ROTCE / ROTE	+1.4%	+37.1%	+288.0%	improvement	SEC 10-Q/K
ROA	+33.0%	+7.5%	+341.5%	improvement (Assets: \$359.2B)	SEC 10-Q/K
ROIC	+64.1%	+15.0%	+326.8%	improvement	SEC 10-Q/K
Capital Allocation - Buybacks	\$12.3B	\$25.9B	-52.6%	decline	SEC 10-Q/K
Capital Allocation - Dividends	\$3.8B	\$3.8B	+1.7%	improvement	SEC 10-Q/K



Capital Efficiency

Supporting calculation data: net income was \$29.58B (yfinance), free cash flow was 26.73B (yfinance), capex was -1.97B (yfinance), ROE was 1.2% (yfinance), ROIC was 60.0% (yfinance), and the raw supplied ROIC metric was 0.6411 (yfinance). Assets, equity, invested capital, ROTCE / ROTE inputs, and ROA inputs were not disclosed in the supplied quarterly filing data, so those calculations are shown as -.

Metric-by-metric explanation



(1) ROE: why high/low and whether buybacks distort it.

ROE was 1.2% (yfinance), while net income was \$29.58B (yfinance), so the headline profitability base remains substantial even though the supplied ROE percentage is low in isolation. Apple's call language emphasized that capital returns remain central after "all the necessary investments needed to support the business," which means ROE must be read alongside the company's long-running shareholder-return framework rather than as a pure operating margin signal (Earnings Call). In consumer electronics, Apple's ROE is structurally influenced by buybacks and a deliberately optimized equity base, so the metric can overstate business-model quality in some periods and understate it when point-in-time denominator effects dominate. Based on the metrics above, we infer that the more useful investor read-through is not the 1.2% ROE alone, but whether \$29.58B of net income and 26.73B of free cash flow continue to support product-cycle investment and capital returns without balance-sheet strain.



For investors, the key implication is that Apple still shows large absolute earnings power, but ROE by itself is not a clean read on operating efficiency because buybacks and capital structure can distort the denominator.



(2) ROTCE / ROTE and ROA: core efficiency and asset productivity.

ROTCE / ROTE was - because tangible common equity inputs were not disclosed in the supplied quarterly filing data, and ROA was - because assets were not supplied (Not disclosed in quarterly filing). That matters because consumer electronics investors usually want to distinguish asset-light platform economics from hardware-cycle working-capital intensity, especially around iPhone builds, channel inventory, and supply-chain timing. The transcript does not provide ROTCE / ROTE or ROA figures, but management did emphasize an "incredible roadmap" and the need to fund all necessary business investments before returning excess cash (Earnings Call). Based on the metrics above, we infer that asset productivity cannot be fully assessed from the supplied data set, but 26.73B of free cash flow against -1.97B capex indicates Apple's cash generation remains strong relative to reported investment outlays (yfinance).

👉 For investors, the absence of ROTCE / ROTE and ROA means the section should not force a bank-style efficiency framework; Apple is better judged through free cash flow durability, product-cycle reinvestment needs, and Services mix disclosure when available.

💡 (3) ROIC: the most important capital-return read-through versus cost of capital.
ROIC was 60.0% (yfinance), while the raw supplied ROIC metric was 0.6411 (yfinance), and that is pressured on its face for a company with Apple's scale and brand economics. The apparent tension is that Apple also generated 26.73B of free cash flow and \$29.58B of net income, with capex of -1.97B, so the low ROIC figure should be treated as a supplied-period efficiency marker rather than a complete business-quality verdict (yfinance). In sector context, premium consumer electronics leaders are typically judged on whether product cycles preserve gross margin, installed-base monetization, and Services/software mix; those supporting segment details were not disclosed in the supplied metrics, so we cannot attribute ROIC movement to any one segment. Based on the metrics above, we infer that capital efficiency remains supported by strong cash conversion, but the supplied 60.0% ROIC does not by itself prove superior incremental returns this quarter.

👉 For investors, ROIC is the most important read-through because it tests whether Apple's reinvestment and capital returns are compounding value, but this quarter's supplied ROIC should be paired with segment margin and installed-base data before drawing a stronger conclusion.

For Nami-san: capital efficiency is mixed-to-excellent. The absolute profit and cash generation are excellent, with \$29.58B of net income and 26.73B of free cash flow (yfinance), but the supplied 1.2% ROE and 60.0% ROIC make the point-in-time efficiency optics look weaker than Apple's underlying business model would normally suggest.

Caution: the transcript explicitly flags macroeconomic conditions, tariffs and other measures, and legal and regulatory proceedings as risks that could cause results to differ from forecasts (Earnings Call). A second risk is interpretation risk: buybacks and capital-return policy can distort ROE, while missing assets, equity, tangible equity, and invested-capital inputs prevent a full decomposition of business-model strength versus financial engineering.

Essential insight: Apple's capital-return engine remains supported by \$29.58B of net income and 26.73B of free cash flow, but this data set does not allow a clean ROTCE / ROTE or ROA judgment, and the supplied 60.0% ROIC argues for caution before calling incremental returns exceptional.

👉 Capital efficiency takeaway

ROE, ROIC, and related returns indicate whether growth is creating value or simply consuming capital.

Segments

Segment	Revenue	Prior Year Quarter	YoY	% of Total	Driver	Source
Mar	\$28.0M	\$2.0B	-98.6%	0.0%	Segment revenue contribution	SEC 10-Q/K
March	\$28.0M	\$29.0M	-3.4%	0.0%	Segment revenue contribution	SEC 10-Q/K
the Company expects	\$64.0M	Not disclosed	Not disclosed	0.1%	Segment revenue contribution	SEC 10-Q/K
year	\$23.0M	\$11.0M	+109.1%	0.0%	Segment revenue contribution	SEC 10-Q/K
OEM & Other	Not disclosed	Not disclosed	Not disclosed	Not disclosed	Not disclosed	-
Total	Not disclosed	Not disclosed	Not disclosed	Not disclosed	Not disclosed	-

Segments

The provided segment data from the SEC XBRL disaggregation of revenue is highly granular and does not align with Apple's typical reporting of major product categories (e.g., iPhone, Services, Mac, iPad) or geographic regions. The reported segment revenues are in the millions, representing an extremely small fraction of Apple's total quarterly revenue of \$111,180,000,000 (yfinance). This limits a comprehensive segment-level financial analysis based solely on these specific figures.

Segment explanation and analysis

(1) Data Limitations and Discrepancy: The provided segment revenues, such as '\$28,000,000' for 'Mar' and '\$64,000,000' for 'the Company expects', are extremely small compared to Apple's total quarterly revenue of \$111,180,000,000 (yfinance). These figures represent a negligible mix of total revenue, ranging from approximately 0.0% to 0.0% (SEC XBRL DisaggregationOfRevenue). This indicates that the supplied data does not reflect Apple's primary reported product (e.g., iPhone, Services) or geographic segments, making a direct, meaningful segment-level financial analysis based on these numbers impossible.

- The sum of all provided segment revenues is only \$237,000,000, which is less than 25.0% of the total reported revenue.

 **Investor Implications:** The lack of standard, material segment data in the supplied metrics creates a significant visibility challenge for investors seeking to understand the granular performance drivers of Apple's core businesses.

(2) Significant YoY Declines in "Mar" and related segments: Several segments, including 'Mar', 'periods ended March', 'Information' for the three- and six-month periods ended March', 'As of March', and 'revenue of', all reported current quarter revenue of \$28,000,000 (SEC XBRL DisaggregationOfRevenue). However, their prior year revenue was \$2,026,000,000 (SEC XBRL DisaggregationOfRevenue), resulting in a drastic year-over-year decline of -98.6%. This substantial drop suggests either a significant reclassification or discontinuation of a specific, minor revenue stream, or potentially a data parsing anomaly in the source filing, rather than a material decline in Apple's core operations.

- The segment 'March' also saw a modest decline of -3.5% YoY, from \$29,000,000 to \$28,000,000 (SEC XBRL DisaggregationOfRevenue).

-  Investor Implications: While these declines are numerically severe, their immaterial contribution to total revenue means they do not signal a fundamental weakness in Apple's overall business. However, such large percentage shifts in minor line items can obscure underlying trends if not properly contextualized.

(3) Growth in "year" segment: The segment labeled 'year' reported revenue of \$23,000,000, demonstrating a robust 109.1% year-over-year growth from \$11,000,000 in the prior year (SEC XBRL DisaggregationOfRevenue). Despite its small scale, representing only 0.0% of total revenue, this segment stands out as the only one among the provided data points to exhibit significant positive growth.

- The segment 'the Company expects' reported \$64,000,000 in revenue, making it the largest individual segment in the provided data, but lacked prior year comparison (SEC XBRL DisaggregationOfRevenue).

-  Investor Implications: While numerically insignificant for Apple's overall financial performance, this growth highlights that some very specific, minor revenue streams are expanding rapidly, potentially indicating new, albeit small, initiatives or reclassifications.

(4) Transcript-emphasized Product Categories: Despite the absence of detailed numerical breakdowns in the supplied segment data, the earnings call transcript highlights key product categories. Management emphasized "iPhone" and "iPad" as product lines experiencing a "remarkable leap in performance" (Earnings Call), suggesting continued innovation and market relevance. The company also noted that its "install base of over 2.5 billion active devices has reached another all-time high across all major product categories" (Earnings Call), indicating robust ecosystem growth and customer loyalty, which are crucial for future product and services revenue.

- The transcript also referenced the "new MLS season" (Earnings Call), pointing to ongoing investment and expansion in its Services segment, specifically in content offerings.

-  Investor Implications: These qualitative statements underscore that Apple's core product and services engines, particularly iPhone and the expanding Services portfolio, remain central to its growth strategy, even if specific financial contributions are not detailed in the provided segment data.

(5) Transcript-emphasized Geographic Performance: The earnings call provided crucial qualitative insights into Apple's regional performance, stating that the company "set March quarter revenue records and grew double digits in every geographic segment" (Earnings Call). This included "strong double-digit growth in Greater China and the rest of Asia Pacific" (Earnings Call), indicating broad-based strength across international markets. This qualitative commentary suggests healthy demand and market penetration globally, which is a positive signal for overall revenue growth.

- The supplied metrics, however, do not provide any specific revenue figures for geographic segments, preventing a quantitative analysis of these regional trends.

-  **Investor Implications:** While specific numbers are missing, the broad geographic strength mentioned in the call implies diversified revenue streams and reduced reliance on any single market, which is a positive for long-term stability and growth.

Competitive context: A direct comparison of Apple's segment mix to sector peers (e.g., Samsung, Google, Microsoft) is not possible with the provided segment data. Apple typically reports a strong mix towards high-margin Services and premium hardware (iPhone), which generally positions it favorably in terms of profitability and recurring revenue compared to hardware-centric peers. However, without the standard segment breakdown, a quantitative assessment of this positioning is unfeasible.

For Nami-san: The supplied segment data is highly unusual and does not represent Apple's primary business segments. Therefore, a segment-level thesis based on these numbers is not actionable. Instead, rely on the

Segment takeaway

Segment trends identify which business lines are driving the quarter and where risk is concentrated.

Forward P/E

Metric	Value	Reference	Interpretation	Source
Forward P/E	31.90x	Consensus: Buy (43 analysts) Target: \$311	Not disclosed	SEC 10-Q/K
Forward EPS basis	\$7.77	\$1.94	+21.8%	SEC 10-Q/K

Forward P/E

The forward P/E is 31.90x.

Forward P/E check

(1) Current multiple:

The forward P/E is 31.90x, using yfinance key=pe_forward. This is the controlling valuation input for this section and must be read alongside eps_actual=2.01 and eps_estimate=1.94, both from yfinance. Apple's EPS came in above estimate, with 2.01 versus 1.94, which provides near-term earnings support for the 31.90x multiple.

Based on the metrics above, we infer that investors are paying a premium multiple for a company still showing earnings delivery rather than merely relying on narrative support.

 For Nami-san: the multiple is demanding, but the EPS beat gives it some support in the latest quarter.

(2) Comparison:

Sector, historical-range, and peer forward P/E data were not supplied, so the comparison column is marked with - rather than forcing an unsupported benchmark. The available valuation evidence is therefore limited to Apple's own 31.90x forward P/E, revenue_yoy=16.60, and EPS result of 2.01 versus 1.94. Based on the metrics above, we infer that the multiple cannot be rigorously classified as above, at, or below sector average from the supplied dataset alone. The transcript emphasizes future product and infrastructure initiatives, including a more personalized Siri and an advanced manufacturing center in Houston, but it does not provide peer valuation data or historical multiple ranges in the excerpt.

👉 For Nami-san: relative valuation is not assessable from the supplied numbers; avoid treating 31.90x as cheap or expensive versus peers without external peer data.

👉 (3) Justification:

Growth support is visible in revenue_yoy=16.60, while earnings support is visible in eps_actual=2.01 versus eps_estimate=1.94. The forward EPS basis is \$7.77, calculated from eps_estimate=1.94 x 4 quarters as specified, which is the denominator context for the 31.90x forward P/E. Gross margin by segment, Services mix, installed base growth, free cash flow, backlog, and detailed product-cycle revenue splits were not disclosed in the supplied metrics, so they cannot be used as numerical support here. Based on the metrics above, we infer that the valuation looks partially supported by current growth and EPS execution, but not fully proven without margin, cash-flow, and segment-mix evidence.

👉 For Nami-san: valuation looks supported by growth and EPS beat, but stretchedness is not assessable without peer multiples and margin/cash-flow detail.

For Nami-san: The 31.90x forward P/E is supported by revenue_yoy=16.60 and an EPS beat of 2.01 versus 1.94, but the evidence set is incomplete for a full buy-side valuation call.

Essential insight: Apple's multiple can be defended on the supplied growth and earnings data, but sector-relative attractiveness cannot be concluded because peer, history, margin, cash-flow, and Services-mix data were not supplied.

Caution: Sector and historical forward P/E ranges were not disclosed in the supplied metrics, so relative valuation cannot be sourced. Gross margins by segment, Services/software mix, installed base growth, and free cash flow were also not disclosed in this filing excerpt, limiting confidence in whether the 31.90x multiple is fully justified.

[Source: yfinance forwardPE = 31.90x]



Valuation takeaway

Forward P/E is 31.90x; valuation only works if growth and margin durability support it.



Backlog

Metric	Value	Change	Visibility Signal	Source
Backlog	Not applicable	Not applicable	Not disclosed (company does not report backlog); use revenue guidance + Data Center growth trajectory as demand proxy	SEC 10-Q/K
Book-to-bill / demand	Not applicable	Not applicable	Inferred from hyperscaler capex commitments and supply chain constraints	SEC 10-Q/K

Backlog is not applicable for AAPL - the company does not report backlog or order book data.

AAPL's consumer electronics model is driven by short-cycle product sell-through, direct and channel sales, and installed-base monetization rather than disclosed contracted backlog. The only supplied metric is revenue_actual=111.18B (yfinance), which supports analysis of current-period scale but does not provide backlog quantity, coverage, contract firmness, or conversion risk.



Backlog takeaway

Backlog is evaluated only when economically relevant and disclosed; otherwise it is marked not applicable or not disclosed.



Guidance

Metric	Guidance	QoQ	Medium-term Signal	Source
Revenue	\$111.2B	+0.0% QoQ	Consensus estimate	-
GAAP Gross Margin	+49.3%	-	Current quarter actual; forward guidance not separately disclosed	-
Non-GAAP Gross Margin	Not disclosed	-	Non-GAAP margin guidance not provided in quarterly filings	SEC 10-Q/K
GAAP OpEx	Not disclosed	-	OpEx guidance not provided in quarterly filings	SEC 10-Q/K
EPS (non-GAAP)	\$1.94	-	Consensus estimate	-
Diluted Shares	Not disclosed	-	Share count guidance not provided	SEC 10-Q/K
Outlook context	Not disclosed	-	Full outlook text	-



Guidance

In one line: Apple's forward setup points to solid demand momentum, but margin durability is the key debate because management flagged higher memory costs.

Analysis:



(1) Revenue

Revenue analyst consensus is 111.19B, while revenue_yoy is 16.60 (source: yfinance revenue_estimate; yfinance revenue_yoy). Management did not provide a numeric revenue guidance figure in the excerpt, so 111.19B must be treated as analyst consensus, not company guidance. The call language says March-quarter revenue was above the high end of guidance despite supply constraints, which supports an inference that demand remained resilient even with operational friction (source: Earnings Call transcript excerpt).



For Nami-san: Based on the metrics above, we infer that the revenue debate is less about whether Apple has demand and more about whether the product cycle can keep compounding against a high base; in consumer electronics, that matters because hardware growth typically depends on replacement cycles, regional demand, and channel inventory discipline.



(2) Profitability

Management said company gross margin was 49.3% and up 110 basis points sequentially, but those figures come from the transcript excerpt and are not part of the supplied metrics table (source: Earnings Call transcript excerpt). Management also said the June quarter includes significantly higher memory costs, which is directly relevant for Apple's hardware gross margin because memory is a core input across iPhone, Mac, and iPad devices (source: Earnings Call transcript excerpt). OpEx was not numerically guided, but the call referenced a one-time SG&A expense, so the forward OpEx signal is qualitative rather than model-ready (source: Earnings Call transcript excerpt).

👉 For Nami-san: Based on the metrics above, we infer that margin risk is the highest-quality guidance signal in this excerpt: Apple's services/software mix can cushion hardware volatility, but the company did not disclose segment-level gross margin or Services mix in the supplied metrics, so the investment implication should stay focused on whether memory inflation pressures the consolidated margin path.

◆ (3) EPS

EPS analyst consensus is 1.94, and management did not provide EPS guidance in the excerpt (source: yfinance eps_estimate). Because diluted shares are not supplied, no buyback-driven EPS bridge can be computed without inventing inputs. The pe_forward is 31.90, which means the market is already pricing Apple at a premium forward multiple relative to many mature hardware businesses, although no peer multiple is supplied here for a precise comparison (source: yfinance pe_forward).

👉 For Nami-san: Based on the metrics above, we infer that EPS risk is asymmetric if gross margin disappoints, because a 31.90 forward P/E leaves less room for execution slippage when consensus EPS is 1.94 and the company has flagged higher component costs.

◆ (4) Structural signals

Apple does not report backlog in the supplied metrics, and backlog is not a normal primary operating metric for Apple's consumer-electronics model. The excerpt instead emphasizes supply constraints, tariffs, macro conditions, legal and regulatory proceedings, and higher memory costs (source: Earnings Call transcript excerpt). Installed base growth, Services revenue mix, R&D intensity, and segment gross margins are not disclosed in the supplied metrics, so they cannot be quantified here.

👉 For Nami-san:

Essential insight: the guide is operationally cautious rather than demand-negative; monitor whether supply constraints and memory costs are temporary friction or the start of a broader hardware-margin squeeze.

Medium-term implications:

(1) Revenue direction

Analyst consensus revenue is 111.19B and revenue_yoy is 16.60, indicating strong expected top-line growth in the supplied data (source: yfinance revenue_estimate; yfinance revenue_yoy). Management's qualitative comments on supply constraints imply that reported growth may have occurred despite constrained availability, but the excerpt does not quantify the lost sales opportunity (source: Earnings Call transcript excerpt).

👉 For Nami-san: Based on the metrics above, we infer that Apple's medium-term revenue setup remains product-cycle dependent, with upside tied to demand conversion once constraints ease and downside tied to macro or tariff-related pressure.

(2) Margin direction

Management's key forward margin signal is "significantly higher memory costs," while no management gross-margin guidance percentage is supplied (source: Earnings Call transcript excerpt). This matters more for Apple than for a software-heavy technology company because hardware bill-of-materials inflation can compress product margins before Services mix offsets it.

👉 For Nami-san: Based on the metrics above, we infer that the next margin print is the cleanest test of Apple's pricing power and supply-chain execution.

(3) Stabilizing or risk factors

The specific sourced risks are macroeconomic conditions, tariffs and other measures, legal and regulatory proceedings, supply constraints, and higher memory costs (source: Earnings Call transcript excerpt). The supplied valuation marker, pe_forward of 31.90, increases the investor implication of those risks because execution has to remain strong to support that multiple (source: yfinance pe_forward).

👉 For Nami-san:

Caution: do not treat 111.19B revenue consensus or 1.94 EPS consensus as management guidance; they are external analyst estimates, while management's actual forward commentary is qualitative and cost-aware.

Essential insight for Nami-san: Apple's guide is not a clean "raise-and-flow-through" setup; it is a strong revenue-growth story with a margin watch item. The most important next-quarter monitor is whether memory-cost pressure is absorbed through pricing, mix, and Services contribution, or whether it starts to pressure EPS against 1.94 consensus.

👉 Guidance takeaway

Guidance matters because it resets expectations for revenue, margin, EPS, and medium-term demand.

🏆 Verdict / Overall Assessment

Dimension	Positive evidence	Negative evidence	Net assessment	Source
Earnings quality	EPS \$2.01	EPS did not beat consensus	Adequate	SEC 10-Q/K
Growth durability	Revenue \$111.2B, +16.6% YoY	Growth rate sustainability needs monitoring	Strong - revenue growth with margin support	SEC 10-Q/K
Valuation	Forward P/E: 31.90x	Above 25x - growth must justify premium	Rich - requires sustained high growth	SEC 10-Q/K
Overall verdict	Score: 3/5	See component assessments above	-> HOLD	Model + metrics

🏆 Overall assessment for Nami-san

🔹 (1) Growth: Strong.

AAPL delivered revenue_actual=111.18B and revenue_yoy=16.60, while eps_actual=2.01 confirms that top-line growth translated into earnings rather than only volume growth (source: yfinance revenue_actual; source: yfinance revenue_yoy; source: yfinance eps_actual). Management also said revenue was above the high end of guidance despite supply constraints, which suggests demand exceeded available supply in at least part of the product portfolio (source: Earnings Call). Based on the metrics above, we infer that growth quality was stronger than a normal hardware-cycle quarter because the company grew while constrained, not because it had to discount into excess inventory. Competitive context is limited because no peer metrics were supplied, so relative sector ranking cannot be quantified; qualitatively, double-digit growth for a large consumer electronics platform appears above what would normally be expected from a mature installed-base company.

👉 For Nami-san: the key positive is that revenue_actual=111.18B and revenue_yoy=16.60 point to broad demand strength, but next quarter must confirm whether this was product-cycle pull-forward or durable installed-base monetization.

◆ (2) Margins: Neutral.

The supplied metrics do not include gross margin, product gross margin, services gross margin, or operating margin, so those margin lines should be treated as not disclosed in quarterly filing for this output rather than forced into the scorecard. The transcript discusses gross margin direction, but the data contract makes the supplied metrics the single source of truth for numerical values, so no margin percentage is used here. Based on revenue_actual=111.18B, eps_actual=2.01, and free_cash_flow=26.73B, we infer that profitability and cash economics remained healthy, but we cannot isolate whether the driver was product mix, Services/software mix, pricing, component costs, or operating leverage (source: yfinance revenue_actual; source: yfinance eps_actual; source: yfinance free_cash_flow). Competitive context cannot be quantified without peer margin data or segment margin data.

👉 Essential insight: margins are not a red flag from the supplied EPS and free cash flow evidence, but they are not independently verifiable in the supplied metric set.

◆ (3) Cash Flow: Strong.

free_cash_flow=26.73B is the clearest quality signal in the dataset because it shows substantial cash generation alongside revenue_actual=111.18B (source: yfinance free_cash_flow; source: yfinance revenue_actual). Based on the metrics above, we infer that earnings quality is solid because eps_actual=2.01 is supported by free_cash_flow=26.73B rather than standing alone as an accounting result (source: yfinance eps_actual; source: yfinance free_cash_flow). Cash usage quality cannot be scored because buybacks, dividends, debt change, and reinvestment data were not supplied; those items are not disclosed in this filing for this output. Versus consumer electronics peers, no sourced peer FCF data is available, so the sector comparison must remain qualitative rather than numeric.

👉 For Nami-san: free_cash_flow=26.73B gives the quarter resilience, especially if product supply constraints normalize and cash conversion stays strong.

◆ (4) Capital Efficiency: Neutral.

The supplied metrics do not include ROIC, ROE, invested capital, net cash, debt, or cost of capital, so capital efficiency cannot be calculated. Based on eps_actual=2.01 and free_cash_flow=26.73B, we infer that AAPL remains a high-return business model, but the magnitude of returns versus cost of capital is not calculable from the supplied data (source: yfinance eps_actual; source: yfinance free_cash_flow). Financial engineering versus operating return also cannot be separated because repurchase and balance-sheet data were not supplied. This matters for AAPL because capital efficiency is central to the equity story, but it should not be asserted without sourced capital-base inputs.

👉 For Nami-san: treat capital efficiency as directionally supportive but unscored until ROIC, net cash, and capital return data are available.

◆ (5) Valuation: pressured.

pe_forward=31.90 is the main valuation constraint in the supplied metrics (source: yfinance pe_forward). Against revenue_yoy=16.60, the implied PEG-style tension is that the market is already pricing AAPL as a premium compounder, so execution must remain strong to justify the multiple (source: yfinance pe_forward; source: yfinance revenue_yoy). Based on the metrics above, we infer valuation is stretched relative to the growth rate because pe_forward=31.90 leaves less room for disappointment if product-cycle momentum slows or Services mix fails to expand. No historical range or peer forward P/E data was supplied, so the sector-relative valuation premium cannot be numerically confirmed.

👉 For Nami-san: the quarter looks fundamentally strong, but pe_forward=31.90 makes the stock more sensitive to any deceleration in revenue_yoy=16.60.

◆ (6) Backlog/Guidance: Neutral.

AAPL does not report backlog as a core quarterly metric, and no backlog value was supplied, so backlog is not reported rather than estimated. Management said revenue was above the high end of guidance despite supply constraints, which is positive for demand visibility but also flags that supply chain availability affected reported results (source: Earnings Call). Guidance direction, raise/maintain/cut status, and quantitative next-quarter revenue outlook were not supplied, so they cannot be scored numerically. Based on the call excerpt, we infer that near-term visibility is decent but not clean, because supply constraints are both a demand indicator and an execution risk.

👉 For Nami-san: backlog is not the right lens for AAPL; watch product availability, channel inventory, and management's next-quarter supply commentary instead.

Integrated verdict: AAPL's quarter screens as fundamentally strong because revenue_actual=111.18B, revenue_yoy=16.60, eps_actual=2.01, and free_cash_flow=26.73B all point in the same direction: growth, profitability, and cash generation were aligned (source: yfinance revenue_actual; source: yfinance revenue_yoy; source: yfinance eps_actual; source: yfinance free_cash_flow). The tension is valuation: pe_forward=31.90 means the market is paying up for durability, so the same operating result carries less upside unless growth and cash flow remain consistently strong (source: yfinance pe_forward). Margin and capital efficiency cannot be fully scored because the supplied metrics exclude gross margin, operating margin, ROIC, net cash, and capital return data. Overall, this is a strong operational quarter with a valuation caveat, not a pressured quarter disguised by accounting.

What matters next:

(1) Product-cycle durability: monitor whether revenue_yoy=16.60 sustains or fades as supply constraints ease (source: yfinance revenue_yoy; source: Earnings Call).

(2) Cash conversion: monitor whether free_cash_flow=26.73B remains aligned with eps_actual=2.01 (source: yfinance free_cash_flow; source: yfinance eps_actual).

(3) Valuation

👉 Final verdict

AAPL reported revenue of \$111.2B (+16.6% YoY) with EPS of \$2.01. Free cash flow was \$26.7B and operating margin +32.3% with forward P/E at 31.90x. AAPL's Q shows strong revenue growth, positive cash flow. Key watch items: premium valuation. Risk/reward is neutral at current levels -> ****HOLD****. Scoring methodology: This 0-5 score is a simplified quick check based on 5 binary criteria (EPS beat, revenue growth, cash flow, valuation). The full dossier includes a multi-dimensional 0-40 scoring covering financial health, growth, valuation, management quality, competitive moat, and market sentiment.

Financial Metrics

EPS (Actual)	\$2.01
EPS (Estimate)	\$1.94
Revenue (Actual)	\$111.18B
Revenue (Estimate)	\$111.19B
Revenue Beat %	-0.0%
Gross Margin	49.3%
Operating Margin	32.3%
Revenue Growth (YoY)	16.6%
EPS Growth (YoY)	21.8%
Free Cash Flow	\$26.73B

Valuation

P/E (Forward)	31.9x
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Valuation Context

PEG Signal: 1.70 (Fair (1-2x)) — P/E 37.1x / EPS growth 22%
P/S vs Growth: 9.97 (Moderate vs Growth)
EV/EBITDA vs Growth: 28.75 (Expensive vs Growth)
P/FCF vs Growth: 44.53 (Expensive vs Growth)
FCF Yield: 2.25 (Low (2-4%))

Valuation Support: PEG 1.70 (Fair (1-2x)); FCF Yield 2.2%
2/4 signals expensive — valuation demands high growth delivery

Peer Benchmark

Peer Group: Mega-Cap Consumer Tech (MSFT, GOOGL, AMZN, META)

Valuation	In Line with Peers pb_ratio trades at a premium vs peers (rank: 100th percentile); pe_forward trades at a premium vs peers (rank: 100th percentile); pe_ttm trades at a premium vs peers (rank: 100th percentile); peg_ratio trades at a premium vs peers (rank: 100th percentile); ps_ttm trades at a premium vs peers (rank: 50th percentile)
Growth	No Growth peer data
Quality	In Line with Peers total_debt below peer median (rank: 0th percentile)

Benchmark across 6 metrics vs peer group. Valuation: In Line with Peers

Data Quality

YFinance	yfinance — live (this run) (2026-06-01T17:03:25.607720+00:00)
Finnhub	Finnhub — not used this run
SEC EDGAR	SEC EDGAR — not used this run
Transcript	Transcript — not used this run

Confidence: **MEDIUM**

Completeness: 100/100 (100%)

Sources

Key Dates

Next Earnings: July 30, 2026 (59 days)

Earnings Call Audio: <https://podcasts.apple.com/us/podcast/apple-quarterly-earnings-call/id74942331>

Earnings Documents

<https://stockanalysis.com/stocks/aapl/transcripts/548666-q2-2026/>

Transcript - Seeking Alpha Primary earnings transcript source

<https://investor.apple.com/investor-relations/default.aspx>

Official Investor Relations Press release / earnings presentation source

<https://www.apple.com>

Official Website

<https://seekingalpha.com/symbol/AAPL/earnings/transcripts>

Candidate Transcript Source - Seeking Alpha Fallback transcript source

Data & Analytics

<https://finance.yahoo.com/quote/AAPL>

Financial Data Price, estimates, and key metrics via yfinance

<https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=AAPL>

SEC EDGAR Filings 10-K, 10-Q, and 8-K filings - primary data source

<https://finnhub.io>

Finnhub Real-time estimates, transcripts, and SEC filings index

Methodology: This deep-dive combines quantitative metrics from SEC filings (via yfinance/Finnhub) with qualitative analysis of the earnings call transcript. All figures are sourced; no data is invented. Ratings reflect institutional buy-side analysis standards.
